



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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BUY

Current Price	418
Target Price	570
Upside/Downside	36%
52 Week Range	655/403

Key Share Data

Market Cap (Rs.bn)	337
Market Cap (US\$ mn)	4790
No of o/s shares (mn)	805.7
Face Value	2
Monthly Avg.vol (BSE+NSE) Nos'000	2507
BSE Code	500087
NSE Code	CIPLA
Bloomberg	CIPLA IN

Price performance



% Shareholding	Jun-19	Mar-19
Promoters	36.70	36.70
FII	24.98	25.96
DII	11.78	10.27
Others	26.54	27.07
Total	100	100

We expect recovery in Cipla's India business (40% of sales), in view of the widespread monsoon and growth in anti infectives and respiratory. We expect Cipla to benefit being the 3rd largest player in anti infectives and the largest player in respiratory therapy. We also believe Cipla will make good the decline in Cinacalcet revenues, with limited competition launches in H2FY20. Further, the progress of its respiratory trials for gADVAIR and US filings will enable scale up to the next level. The stock has significantly corrected in the last 3 months. In view of business visibility, we upgrade the stock to BUY. **We recommend investors to BUY with a target price of Rs 570.**

Good monsoon in India, US launches, ARV supplies South Africa augurs well

- The Indian pharmaceutical market has grown 13% in July and 9.2% in August'19.
- The anti infectives therapy has grown by 16%/15% in July/August. Respiratory therapy has grown 18%/13% in July/August. Both the therapies grew better than industry in view of the widespread monsoon over the last 3 months.
- Anti infectives and respiratory contributed 52% of Cipla's India business in FY19.
- We believe the growth in anti infectives and respiratory will help restore normalcy in India business. The India business was disrupted in Q2FY19 in view of the delayed monsoon.
- In the US, Cipla has launched Ambrisentan and Lyrica during Q2FY20. The new launches with some growth from Cinacalcet will help maintain US revenues around Q1 levels.
- In South Africa, Cipla has commenced supplies for its antiretroviral (ARV) tender.

Regulatory issues with Goa, company to file response

Cipla received 12 observations from the USFDA for its Goa plant. As per the company, the observations are procedural in nature and do not involve any data integrity issues. The management will respond to the USFDA within the stipulated timeframe and update investors during its Q2FY20 concall.

Outlook & Valuation

At CMP, Cipla trades at 18x FY21E EPS of Rs 23.7.

We recommend investors to BUY Cipla with a target price of Rs 570.

Key Financials

Year	Sales	% Growth	EBIDTA	OPM (%)	PAT	% Growth	EPS	PE (x)	RoE (%)	RoCE (%)
FY17A	146,302.5	6.1	21,955.3	15.0	7,261.3	(46.6)	9.0	46.3	5.8	4.9
FY18A	152,192.5	4.0	28,263.8	18.6	14,105.3	94.3	17.5	23.9	9.9	7.8
FY19A	163,624.1	7.5	30,973.1	18.9	14,571.8	3.3	18.1	23.1	9.7	8.6
FY20E	167,504.9	2.4	31,293.2	18.7	16,066.9	10.3	19.9	21.0	9.8	8.4
FY21E	185,095.3	10.5	35,053.3	18.9	19,110.2	18.9	23.7	17.6	10.6	9.3



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CIPLA - Key Financials

P&L (Rs mn)	FY17	FY18	FY19	FY20E	FY21E	Cash Flow St. (Rs. mn)	FY17	FY18	FY19	FY20E	FY21E
Net Sales	1,46,302.5	1,52,192.5	1,63,624.1	1,67,504.9	1,85,095.3	Net Profit	7,261.3	14,105.3	14,571.8	16,066.9	19,110.2
Raw materials	(53,171.2)	(54,384.2)	(57,844.9)	(55,421.1)	(61,172.3)	Add: Dep. & Amort.	13,229.3	13,228.2	13,263.1	12,809.5	13,058.9
Employee costs	(26,338.2)	(26,901.0)	(28,565.3)	(30,850.5)	(33,935.6)	Cash profits	20,490.6	27,333.5	27,834.9	28,876.4	32,169.1
Other Expenses	(44,837.8)	(42,643.5)	(46,240.8)	(49,940.1)	(54,934.1)	(Inc)/Dec in					
Cost of sales	(1,24,347.2)	(1,23,928.7)	(1,32,651.0)	(1,36,211.7)	(1,50,041.9)	-Sundry debtors	(2,067.8)	(5,394.0)	(10,482.7)	1,314.6	(4,170.9)
Operating Profit	21,955.3	28,263.8	30,973.1	31,293.2	35,053.3	-Inventories	3,227.7	(5,594.2)	798.7	(2,777.2)	(4,402.6)
Depreciation*	(13,229.3)	(13,228.2)	(13,263.1)	(12,809.5)	(13,058.9)	-Loans/advances	(5,079.9)	(215.9)	1,487.5	(332.8)	(351.3)
PBIT	8,726.0	15,035.6	17,710.0	18,483.7	21,994.4	-Sundry creditors	953.2	5,479.8	(1,711.3)	1,777.5	2,205.9
Other income	2,286.9	3,576.5	4,765.7	5,242.3	5,766.5	-Others	4,019.4	(3,910.9)	(143.1)	792.9	951.5
Interest	(1,593.8)	(1,142.3)	(1,684.3)	(1,646.3)	(1,646.3)	Change in working capital	1,052.6	(9,635.2)	(10,050.9)	775.0	(5,767.4)
Profit before tax	9,419.1	17,469.8	20,791.4	22,079.7	26,114.7	CF from Oper. activities	21,543.2	17,698.3	17,784.0	29,651.3	26,401.7
Provision for tax	(1,797.6)	(2,501.1)	(5,695.3)	(5,740.7)	(6,789.8)	CF from Inv. activities	(13,253.3)	(12,542.6)	(19,275.5)	(24,298.5)	(18,500.0)
PAT Bfr Excep Items	7,621.5	14,968.7	15,096.1	16,339.0	19,324.8	CF from Fin. activities	(11,698.3)	(1,737.7)	(1,044.0)	(2,660.1)	(2,192.0)
Extraordinary Items	-	(775.2)	-	-	-	Cash generated/(utilised)	(3,408.4)	3,418.0	(2,535.5)	2,692.8	5,709.7
Minority Interest/ Share of Profit	(360.2)	(88.2)	(524.3)	(272.1)	(214.7)	Cash at start of the year	8,714.0	5,305.6	8,723.6	6,188.1	8,880.9
Reported PAT	7,261.3	14,105.3	14,571.8	16,066.9	19,110.2	Cash at end of the year	5,305.6	8,723.6	6,188.1	8,880.9	14,588.6
Balance Sheet	FY17	FY18	FY19	FY20E	FY21E	Ratios	FY17	FY18	FY19	FY20E	FY21E
Equity capital	1,609.0	1,610.2	1,611.4	1,611.4	1,611.4	OPM	15.0	18.6	18.9	18.7	18.9
Reserves	1,23,827.6	1,40,681.7	1,48,511.4	1,62,650.1	1,79,446.5	NPM	4.9	9.1	8.7	9.3	10.0
Net worth	1,25,436.6	1,42,291.9	1,50,122.8	1,64,261.5	1,81,057.9	Tax rate	(19.1)	(14.3)	(27.4)	(26.0)	(26.0)
Def. Tax Liab.+Minority Int.	11,951.2	8,557.5	7,572.9	8,019.7	8,520.6	Growth Ratios (%)					
Secured loans	36,453.6	36,621.1	38,300.7	38,300.7	38,300.7	Net Sales	6.1	4.0	7.5	2.4	10.5
Unsecured loans	5,122.9	4,859.8	8,736.1	8,736.1	8,736.1	Operating Profit	(11.5)	28.7	9.6	1.0	12.0
Total debt	41,576.5	41,480.9	47,036.8	47,036.8	47,036.8	PAT	(46.6)	94.3	3.3	10.3	18.9
Other non current liab	936.5	932.5	833.1	916.4	1,008.1	Per Share (Rs.)					
CAPITAL EMPLOYED	1,78,964	1,92,330	2,05,566	2,19,318	2,36,615	Net Earnings (EPS)	9.0	17.5	18.1	19.9	23.7
Gross block	61,608.3	71,059.1	75,059.3	80,059.3	87,059.3	Cash Earnings (CPS)	25.5	34.0	34.5	35.8	39.9
Accumulated depreciation	(11,521.4)	(17,905.6)	(23,915.8)	(36,725.3)	(49,784.2)	Dividend	3.4	4.0	2.0	2.0	2.0
Net block	50,086.9	53,153.5	51,143.5	43,334.0	37,275.1	Book Value	155.9	176.7	186.3	203.9	224.7
Capital WIP	7,192.3	5,123.5	3,310.5	5,000.0	5,000.0	Free Cash Flow	10.3	6.4	(1.9)	6.6	9.8
Total fixed assets	57,279.2	58,277.0	54,454.0	48,334.0	42,275.1	Valuation Ratios					
Intangible Assets	27,486.3	22,880.3	19,081.5	23,690.5	25,190.5	P/E(x)	46.3	23.9	23.1	21.0	17.6
Goodwill	26,966.7	28,147.4	28,691.4	28,691.4	28,691.4	P/B(x)	2.7	2.4	2.2	2.1	1.9
Other non current assets	2,922.0	1,812.7	1,341.7	1,341.7	1,341.7	EV/EBIDTA(x)	17.0	13.1	12.2	12.0	10.5
Investments	9,747.5	12,598.7	26,159.9	39,159.9	49,159.9	EV/SALES(x)	2.5	2.4	2.3	2.2	2.0
Inventories	34,852.8	40,447.0	39,648.3	42,425.5	46,828.1	Div. Yield(%)	0.8	1.0	0.5	0.5	0.5
Sundry debtors	25,630.5	31,024.5	41,507.2	40,192.6	44,363.5	FCF Yield(%)	2.5	1.5	(0.4)	1.6	2.3
Cash & bank	5,305.6	8,723.6	6,188.1	8,880.9	14,588.6	Return Ratios (%)					
Loans & advances	7,739.4	7,955.3	6,467.8	6,800.6	7,151.9	ROE	5.8	9.9	9.7	9.8	10.6
Other current assets	6,740.1	10,044.0	10,623.3	12,748.0	15,297.6	ROCE	4.9	7.8	8.6	8.4	9.3
Sundry creditors	(15,711.4)	(21,191.2)	(19,479.9)	(21,257.4)	(23,463.3)						
Current Liabilities	(9,329.6)	(6,501.2)	(6,006.0)	(7,207.2)	(8,648.6)						
Provisions	(5,428.9)	(7,650.3)	(8,581.7)	(10,298.0)	(12,357.6)						
Working capital	49,798.5	62,851.7	70,367.1	72,284.9	83,760.0						
Deferred Tax Assets	4,764.1	5,762.5	5,470.0	5,815.6	6,195.7						
Miscellaneous exp.	-	-	-	-	-						
CAPITAL DEPLOYED	1,78,964	1,92,330	2,05,566	2,19,318	2,36,614						

* Depreciation includes one time impairment charge of Rs 3500 mn due to litigation and regulatory developments of certain Invagen products



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